

DEED OF LEASE

Commercial Premises

PARTIES

This Deed of Lease is made between **Anchor Property Holdings Limited** (the "Landlord") and **Beacon Coffee Roasters Limited** (the "Tenant"), collectively the "Parties".

1. PREMISES

1.1 The Landlord leases to the Tenant, and the Tenant leases from the Landlord, the premises described as Tenancy 2A, Level 1, 45 Fanshawe Street, Auckland Central 1010, comprising approximately 185 square metres of lettable floor area, together with the right to use two car parks located in the basement car park (the "Premises").

1.2 The Premises are to be used by the Tenant solely for the purpose of a specialty coffee roastery, cafe, and retail sale of coffee and related goods (the "Permitted Use"), and for no other purpose without the prior written consent of the Landlord, such consent not to be unreasonably withheld.

2. TERM

2.1 The term of this Lease is six (6) years, commencing on 1 April 2024 and expiring on 31 March 2030 (the "Term"), unless terminated earlier in accordance with this Lease.

2.2 The Tenant has two (2) rights of renewal of three (3) years each, exercisable in accordance with clause 9 of this Lease.

3. RENT

3.1 The initial annual rent payable by the Tenant is \$128,400.00 plus GST, payable in advance in equal monthly instalments of \$10,700.00 plus GST on the first day of each month.

3.2 Rent is payable by automatic payment or direct credit to the Landlord's nominated bank account, without deduction or set-off, unless otherwise agreed in writing.

4. RENT REVIEW

4.1 The rent shall be reviewed annually on each anniversary of the commencement date, commencing 1 April 2025, in accordance with movements in the Consumers Price Index (All Groups) published by Statistics New Zealand ("CPI"), provided that any CPI adjustment shall not reduce the rent below the rent payable immediately prior to the review date.

4.2 In addition to the annual CPI adjustment, the rent shall be reviewed to current market rent on 1 April 2027 and on the commencement of each renewed term, in accordance with clause 4.3.

4.3 If the Parties cannot agree on the market rent within one (1) month of the review date, either Party may refer the matter to an independent registered valuer, whose determination shall be final and binding on both Parties.

5. OUTGOINGS

5.1 In addition to rent, the Tenant shall pay the Landlord the Tenant's proportionate share (being 14.2%) of Outgoings for the building, currently estimated at \$22,600.00 per annum, payable monthly in advance together with rent.

5.2 Outgoings include, without limitation, rates, building insurance premiums, common area maintenance, property management fees, and water charges, but exclude the Landlord's income tax and costs of a capital nature.

5.3 The Landlord shall provide the Tenant with a reconciliation statement of actual Outgoings within three (3) months of the end of each financial year, being 31 March, and any overpayment or underpayment shall be adjusted accordingly.

6. ASSIGNMENT AND SUBLETTING

6.1 The Tenant shall not assign, sublet, or part with possession of the Premises, or any part of them, without the prior written consent of the Landlord, such consent not to be unreasonably withheld or delayed.

6.2 The Landlord may reasonably require the proposed assignee or sub-tenant to demonstrate financial standing and business experience comparable to that of the Tenant as a condition of granting consent.

7. MAINTENANCE AND REPAIR

7.1 The Landlord shall maintain the roof, exterior walls, structural elements, and common areas of the building in good repair and condition throughout the Term.

7.2 The Tenant shall maintain the interior of the Premises, including fixtures, fittings, and any plant or equipment installed by the Tenant, in good repair and condition, fair wear and tear excepted.

7.3 The Tenant shall notify the Landlord promptly in writing of any defect or disrepair in the Premises or building of which the Tenant becomes aware.

8. INSURANCE

8.1 The Landlord shall maintain full replacement insurance over the building, including loss of rent insurance for a period of not less than twelve (12) months.

8.2 The Tenant shall maintain public liability insurance of not less than \$5,000,000.00 per occurrence, and insurance over the Tenant's own fixtures, fittings, stock, and equipment, for the duration of the Term.

9. RIGHT OF RENEWAL

9.1 The Tenant may exercise a right of renewal by giving the Landlord written notice not less than three (3) months and not more than six (6) months before the expiry of the then-current Term.

9.2 If the Tenant does not give notice in accordance with clause 9.1, the right of renewal lapses and this Lease shall end on the expiry of the then-current Term.

10. DEFAULT AND TERMINATION

10.1 If the Tenant fails to pay rent or Outgoings within fourteen (14) days of the due date, the Landlord may issue a notice requiring payment within a further seven (7) days, failing which the Landlord may re-enter the Premises and terminate this Lease.

10.2 The Landlord shall not exercise any right of re-entry or termination without first giving the Tenant reasonable opportunity to remedy any breach, except in the case of persistent or repeated default.

11. TERMINATION NOTICE

11.1 Either Party may terminate this Lease prior to the expiry of the Term by giving the other Party not less than six (6) months' written notice, served on the registered address of the other Party as set out in this Lease.

12. GENERAL

12.1 This Lease constitutes the entire agreement between the Parties and supersedes all prior negotiations, representations, and agreements relating to the Premises.

12.2 This Lease is governed by the laws of New Zealand.

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